

AI Fear Driving Selective Mispricing

The sharp correction in IT services (~40–60%), driven by concerns around AI-led disruption, has created selective opportunities. The market is increasingly pricing AI as a **margin-compression risk**. However, this view overlooks a key structural shift: as enterprises move from experimentation to deployment, **the need for engineering-led execution at scale is rising, not declining**.

Coforge appears mispriced in this context, with near-term concerns around AI and integration obscuring an improving competitive position.

Cyclical Weakness, Structural Transition

The current slowdown resembles earlier phases of technological transition. During FY16–FY18, growth moderated amid cloud adoption uncertainty before re-accelerating as adoption matured.

A similar pattern is emerging today. AI adoption remains in early stages, with enterprises yet to translate pilots into scaled deployment. While Foundational AI (“brains”) is developed globally, execution at scale (“hands”) remains dependent on cost-efficient engineering talent—an area where Indian IT firms retain structural advantage.

The next phase of IT services is likely to shift toward **engineering-led, platform-enabled delivery**, where capability depth becomes more important than scale.

Balanced Portfolio, Scalable Clients

Coforge operates a **domain-led, engineering-first model** across BFSI, Insurance, Travel & Transportation (TTH), Healthcare & Life Sciences (HLS), Retail, Automotive, and Hi-Tech, without reliance on a single anchor vertical.

Its client strategy is differentiated:

- Limited dependence on very large (\$20mn+) accounts
- Focus on **mid-sized clients with scalable wallet share**

This positioning enables faster deal cycles, lower concentration risk, and aligns well with platform adoption, where mid-sized clients are more agile in decision-making.

Execution Engine Driving Consistency

Coforge has delivered **~18% revenue CAGR over the past decade**, with ~20% growth in the recent TTM period, positioning it among the fastest-growing mid-tier IT firms.

Key strengths include:

- **Sustained deal momentum:** Large deal wins continue despite macro volatility
- **Stable cost structure:** Employee costs remain disciplined (~58–60%), reflecting execution rigor
- **Strong sales engine:** Book-to-bill structurally improved from ~1.1 to ~1.8 during BPEA ownership and continues near ~2.0

The company is now **professionally managed with no promoter overhang**, following BPEA’s exit in 2023. Importantly, operating discipline established during institutional ownership appears to have persisted.

Encora Enables Strategic Upgrade

Encora looks to be not a scale acquisition—rather a **capability transformation**.

Coforge historically combined domain expertise with execution capability. Encora adds:

- Digital-native engineering DNA
- AI-led product engineering
- Cloud, data, and modernization capabilities

This combination transforms Coforge from:

‘IT services vendor’ → ‘engineering-led transformation partner’

Encora also enables a **platform + services hybrid model**, combining reusable AI frameworks with delivery capability, supporting non-linear scaling

AI Execution Demand Tailwind

The market's assumption that AI reduces IT services demand appears flawed. In reality, Enterprises face **legacy system constraints and data fragmentation** and AI deployment requires **modernization + engineering integration**

Encora enables Coforge to address this gap by combining:

- Foundation building (cloud, data, modernization)
- AI deployment at scale

This positions Coforge to benefit from **increasing complexity in enterprise technology**, rather than being disrupted by it.

Expanded Client Base, Higher Leverage

Encora strengthens Coforge's client structure:

- Adds a **broad base of mid-sized accounts** (< \$20mn+), aligned with Coforge's scaling model
- Enhances cross-sell opportunities across AI, engineering, and cloud

This improves revenue scalability, platform monetization potential, and operating leverage over time. Additionally, Encora accelerates presence in **Hi-Tech and Healthcare**, structurally higher-growth verticals.

Margins Stable, Returns Optically Diluted

Coforge's operating margins (~15–17%) remain in line with peers. Encora's higher-margin profile is expected to be **accretive over time** through synergies and delivery optimization.

Reported ROE to decline from ~20% to ~9% post-acquisition. However, this is **optical dilution**, driven by share-swap accounting and expansion of the equity base, rather than underlying economic deterioration.

Valuation Reflects Near-Term Noise

Post integration, Coforge trades at ~22x trailing P/E on a consolidated basis, reflecting - AI disruption concerns, integration overhang and near-term earnings moderation. Earnings growth may remain subdued in the near term due to integration and investment cycles, as significant capex by US-based foundational AI companies toward model and infrastructure build-out is yet to fully translate into downstream enterprise IT spending.

However, as enterprise AI spending stabilizes and shifts toward execution:

- Revenue growth is likely to re-accelerate
- Platform-led delivery can expand margins via operating leverage

This creates a **disconnect between near-term perception and medium-term earnings potential**.

Working Capital, Integration Key Risks

- **Higher working capital intensity:** DSO (~100–110 days) remains elevated vs peers (~75 days), impacting cash conversion (OCF/EBITDA ~65%). This is counterintuitive given Coforge's mid-sized client base and likely reflects extended credit terms during client onboarding and scaling. While this may normalize as relationships mature, it remains an area to monitor.
- **Encora integration risk:** The acquisition (~₹17,000 Cr) involves integrating delivery models, systems, and culture. In an adverse scenario, expected benefits around AI capability and cross-sell may be delayed, alongside potential employee attrition and slower deal conversion. A complete failure remains a low-probability, black swan event; more realistically, risks may manifest as **delayed integration, operational frictions, and gradual ramp-up of synergies**.

Mispriced Transition, Improving Position

Coforge represents a case where:

- The market is **over-discounting AI disruption and integration risks**
- While **underestimating the shift toward engineering-led execution**

Encora positions Coforge to compete in the next phase of IT services, where scale alone is insufficient and **capability depth in AI-led engineering becomes critical**.

Coforge represents a rare combination of temporary uncertainty and structural improvement, where near-term concerns around AI and integration obscure a stronger long-term competitive position.